

HOUSE No. 3262

The Commonwealth of Massachusetts

PRESENTED BY:

Erika Uytterhoeven

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to income tax rates.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Erika Uytterhoeven</i>	<i>27th Middlesex</i>	<i>1/14/2025</i>

HOUSE No. 3262

By Representative Uytterhoeven of Somerville, a petition (accompanied by bill, House, No. 3262) of Erika Uytterhoeven relative to income tax rates. Revenue.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to income tax rates.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Section 4 of Chapter 62 of the General Laws is hereby amended by
2 paragraph (b) and inserting in place thereof the following:-

3 (b) Part B taxable income shall be taxed at the rate of 6.0 per cent for tax years beginning
4 on or after January 1, 2025.

5 SECTION 2. Subparagraph (1) of paragraph (b) of part B of section 3 of chapter 62 of the
6 General Laws, as appearing in the 2022 Official Edition, is hereby amended by striking out
7 clause (A) and inserting in place thereof the following clause:-

8 (A) a personal exemption of \$6,600 for tax years beginning on or after January 1, 2025,

9 For taxable years beginning on or after January 1, 2026, the personal exemption shall be:

10 (i) the exemption in the previous year plus \$275 if the inflation-adjusted growth in baseline taxes
11 in the fiscal year ending the June 30 of the previous year exceeds 2.5 per cent and the inflation-
12 adjusted change in baseline taxes for each consecutive 3 month period reported by the

commissioner between August and December of the previous year is greater than 0; or (ii) the personal exemption in effect for the prior year. On or before October 15 of each year, the commissioner shall submit a report to the secretary of administration, the house and senate committees on ways and means and the joint committee on revenue providing a preliminary statement of the personal exemption for taxable years beginning on or after the following January 1. On or before December 15, the commissioner shall make a final statement of the personal exemption for the following year to the same recipients.

SECTION 3. Subparagraph (1A) of said paragraph (b) of said part B of said section 3 of said chapter 62, as so appearing, is hereby amended by striking out clause (A) and inserting in place thereof the following clause:-

(A) a personal exemption of \$10,200 for tax years beginning on or after January 1, 2025,

For taxable years beginning on or after January 1, 2026, the personal exemption shall be:

(i) the exemption in the previous year plus \$425 if the inflation-adjusted growth in baseline taxes in the fiscal year ending the June 30 of the previous year exceeds 2.5 per cent and the inflation-adjusted change in baseline taxes for each consecutive 3 month period reported by the commissioner between August and December of the previous year is greater than 0; or (ii) the personal exemption in effect for the prior year. On or before October 15 of each year, the commissioner shall submit a report to the secretary of administration, the house and senate committees on ways and means and the joint committee on revenue providing a preliminary statement of the personal exemption for taxable years beginning on or after the following January 1. On or before December 15, the commissioner shall make a final statement of the personal exemption for the following year to the same recipients.

SECTION 4. Subparagraph (2) of said paragraph (b) of said part B of said section 3 of said chapter 62, as so appearing, is hereby amended by striking out clause (A) and inserting in place thereof the following clause:-

(A) a personal exemption of \$13,200 for tax years beginning on or after January 1, 2025,

For taxable years beginning on or after January 1, 2026, the personal exemption shall be:

(i) the exemption in the previous year plus \$550 if the inflation-adjusted growth in baseline taxes in the fiscal year ending the June 30 of the previous year exceeds 2.5 per cent and the inflation-adjusted change in baseline taxes for each consecutive 3 month period reported by the commissioner between August and December of the previous year is greater than 0; or (ii) the personal exemption in effect for the prior year. On or before October 15 of each year, the commissioner shall submit a report to the secretary of administration, the house and senate committees on ways and means and the joint committee on revenue providing a preliminary statement of the personal exemption for taxable years beginning on or after the following January 1. On or before December 15, the commissioner shall make a final statement of the personal exemption for the following year to the same recipients.